

Fearnleys Dry Bulk Weekly

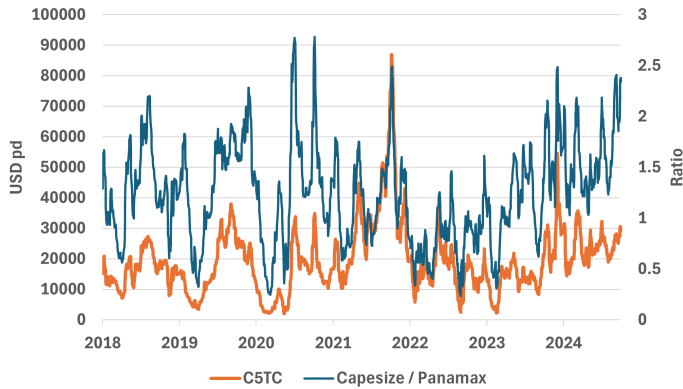
Oct 2, 2024

Bernhard Baardson

Capesize/Newcastlemax

This week or the next is usually a seasonal peak, and we think this will be the case again. The fundamentals in China are weaker than last year, and eventually, it is likely to impact the Capesize market. Further, the ratio between Capesize and Panamax is extremely high. Finally, the 60-day and 30-day volatility is around the lowest levels seen in the last years, which is often followed by a big move.

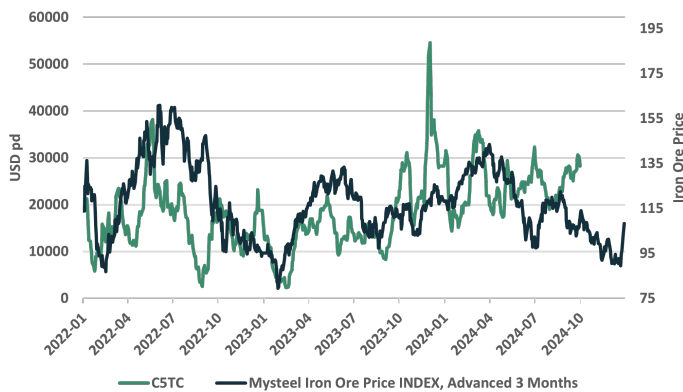
C5TC / P5TC vs Capesize 5TC



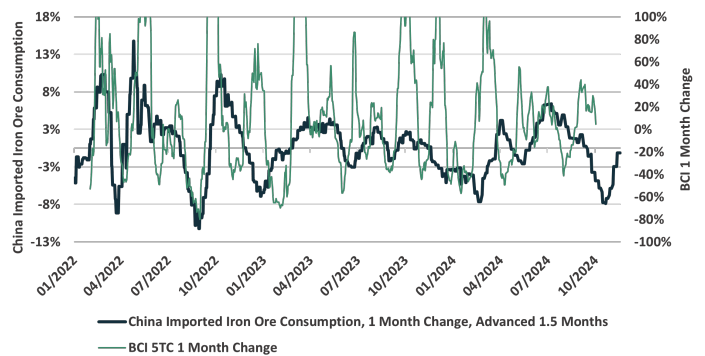
OECD Economic Indicator - China vs Capesize 1 Year TC YoY Change



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC

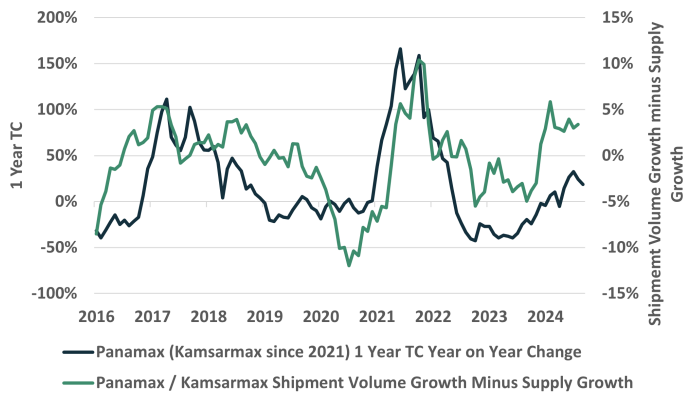


Panamax/Kamsarmax

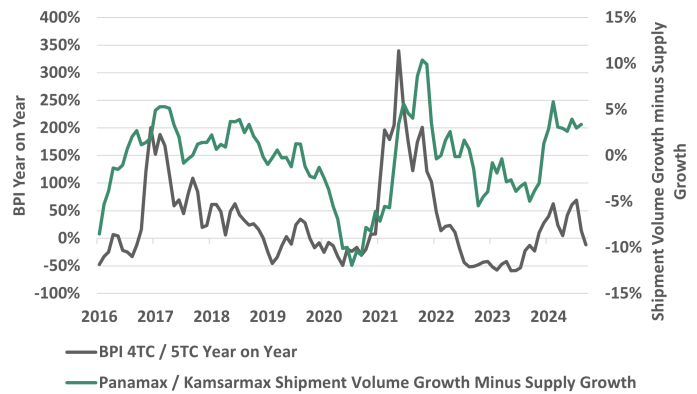
It is a bit hard to explain the recent market weakness when one zooms out and looks at the fundamental data. Shipment volume growth is well above supply growth, which should mean a positive year-on-year change in spot and period rates. The below charts display these correlations. Despite positive fundamentals, the market has been in a downtrend since mid-June, contrary to average seasonality. The spot market has also been lower than the same period last year for about a month.

So what is the main reason for the weakness? We think it is the complete lack of a cyclical upturn in industrial demand in the US and Europe. The TA index has averaged lower than the Pacific index this year, for just the fourth time since 2002 (last time was 2014). Before the summer, there was a lot of hope for a recovery from Q3 (Platts and IHS reports), but this recovery is now postponed to Q1 2025.

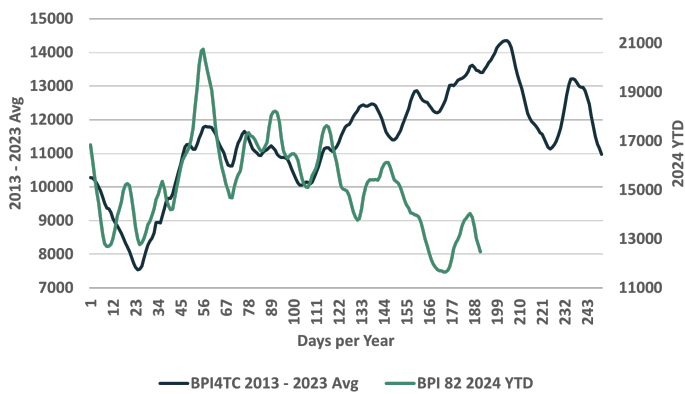
Panamax / Kamsarmax Shipment Volume Growth minus Supply Growth vs 1 Year TC YoY



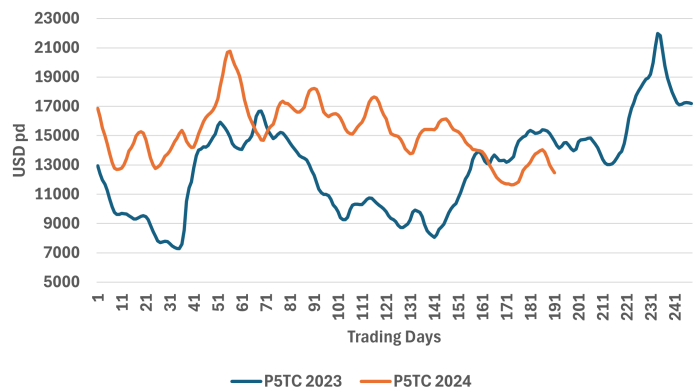
Panamax / Kamsarmax Shipment Volume Growth minus Supply Growth vs Spot Index YoY



Panamax/Kamsarmax Seasonal Average Market Movement



BPI5TC 2023 vs 2024



Supramax/Ultramax

Spot earnings year-on-year remain positive, but only just so, despite positive fundamentals. Like the Panamax market, the weakness in the North Atlantic is the main explanation for it we think. It is doubtful whether there will be much change to the market in the next months. The US grains season is underway but has yet to impact the market in a significant way.

Seasonality turns a bit more negative in November and December.

Supramax Seasonal Market Movement



Supramax 1 Year TC YoY

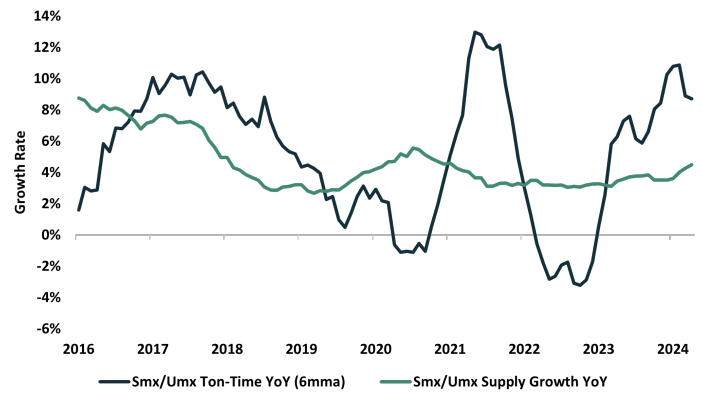




Supramax Spot YoY



Supramax / Ultramax Market Balance





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